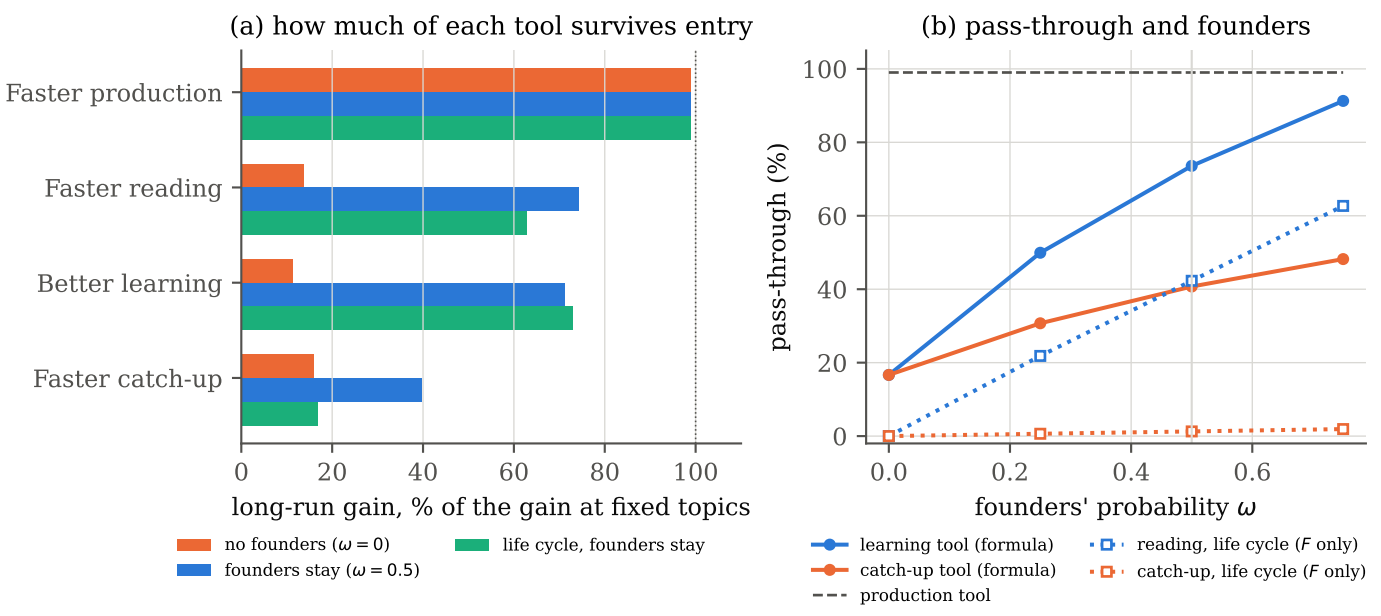
(a) how much of each tool survives entry
Faster production
Faster reading
Better learning
Faster catch-up
0
20
40
60
80
100
long-run gain, % of the gain at fixed topics
no founders (ω = 0)
founders stay (ω = 0.5)
life cycle, founders stay
(b) pass-through and founders
pass-through (%)
0
20
40
60
80
100
0.0
0.2
0.4
0.6
founders' probability ω
learning tool (formula)
catch-up tool (formula)
production tool
reading, life cycle (F only)
catch-up, life cycle (F only)